fashion by specifically inserting what came to be known as ‘the Missionary Clause’. This Clause required the Company to maintain Christian clergy at their Indian factories and to have chaplains on their ships which weighed 500 tons or more.[13] The clergy so appointed to reside in Bharat were required to learn Portuguese within a year of being sent to Bharat, and critically, were also obligated to learn the native language of the country where they shall reside ‘to enable them to instruct the Gentoos that shall be the servants or slaves of the same Company or of their agents, in the Protestant religion’. In other words, at the very least, the Company was expected to spread the Gospel among its Indian employees, which, in my opinion, is proof of intent to ‘civilise’ the native and was a clear indication of what was to come in a more systematic fashion over the years.

By 1726, a royal charter was issued, which permitted the Company to establish mayor’s courts in Madras, Bombay and Calcutta. Further, appeals could be preferred from the said courts to the governor and ultimately to the King, which marked the integration of the legal infrastructure between the colonies in India and the Crown. Between 1726 and 1773, thanks to victories of the Company in the Battles of Plassey (1757) and Buxar (1764), coupled with the brazen profiteering of the Company at the expense of the Indian population during the Bengal famine of 1770—when a fifth of Bengal’s population perished under the governorship of Warren Hastings—it dawned upon the British Parliament that the Company had long moved away from being a mere commercial entity. The Company was seen for what it truly was or had become—an extension of British sovereignty in the East through delegation of powers reinforced by the nature of monopoly enjoyed by it under the Charter.

This, along with the Company’s abysmal management of its fiscal affairs, forced it to seek a bailout from the British government, which provided the British Parliament with the window it sought to impose fiscal discipline on the Company and limit its political/sovereign powers. Accordingly, apart from granting a loan of £1,400,000 at 4 per cent to the Company along with a promise to suspend an outstanding debt of £400,000 until the repayment of the new loan, a ceiling of 6 percent was imposed on the dividend that could be declared by the Company to its shareholders. Further, the Company was required to submit itself to half-yearly scrutiny by the Treasury. Critically, the Act ‘for establishing certain Regulations for the better Management of the Affairs of the East India Company, as well in